

Investing in France

A quick-start checklist for expats & international professionals

You moved abroad, you're earning well, and you know you should be investing — but the wrappers, the acronyms (PEA, CTO, assurance-vie) and the tax rules make it feel harder than it needs to be. Here is the short version: what to set up, in what order, and why.

1 LAY THE FOUNDATION FIRST

- Confirm your **tax residency** — this determines which wrappers you can even use.
- Build a 3–6 month **emergency fund** in a Livret A or LDDS (tax-free, instant-access savings).
- Only invest money you won't need for 5+ years.

2 CHOOSE YOUR INVESTMENT WRAPPER

WRAPPER	BEST FOR	KEY RULE
PEA	EU/UCITS equity ETFs	Tax-free gains after 5 yrs (soc. charges apply); capped €150k
CTO	Non-EU stocks, no caps	Flat tax (PFU, 30%) on gains

Most beginners start with a **PEA** — simplest, cheapest, and tax-efficient for long-term ETF investing.

3 KEEP THE PORTFOLIO SIMPLE

- A single **World equity UCITS ETF** (e.g. MSCI World or All-World index) can be a complete core holding.
- Check the **TER** (ongoing cost) — aim under 0.25% for a core fund.
- Diversification comes from the index, not from owning 15 different funds.

4 WORLD & S&P 500 ETFs AVAILABLE IN FRANCE

A handful of low-cost, well-known funds cover most beginner needs. Eligibility for the PEA depends on the fund's structure (synthetic replication), not just where it's listed — always confirm current eligibility with your broker before buying.

FUND	TRACKS	WRAPPER	TER~
Amundi MSCI World UCITS ETF	MSCI World	PEA-eligible	0.38%
BNP Paribas Easy MSCI World SRI S PEA	MSCI World SRI	PEA-eligible	0.25%
Amundi S&P; 500 UCITS ETF (PEA)	S&P; 500	PEA-eligible	0.12%

ETF	Index	Class	TER
iShares Core S&P; 500 UCITS ETF	S&P; 500	CTO only	0.20%
iShares Core MSCI World UCITS ETF	MSCI World	CTO only	0.20%
Vanguard FTSE All-World UCITS ETF	FTSE All-World	CTO only	0.19%

Rule of thumb: PEA-eligible World/S&P 500 funds for the tax-free wrapper; non-eligible funds (often the cheapest, most liquid ones) sit in a CTO instead.

TERs verified against provider/justETF data, July 2026 — funds get restructured and cheaper share classes launch, so confirm current figures and PEA eligibility with your broker before investing.

5 AUTOMATE WITH DCA

Set a fixed monthly transfer and invest it on the same date, regardless of market moves. Dollar-cost averaging removes the guesswork of timing the market and builds the habit.

6 KNOW YOUR TAX BASICS

- **PFU (flat tax)** = 30% on CTO gains (12.8% income tax + 17.2% social charges).
- **PEA** gains are exempt from income tax after 5 years — social charges still apply.
- Foreign brokerage/crypto accounts (Trade Republic, IBKR, Binance, etc.) must be declared via **form 3916**.

7 COMMON MISTAKES TO AVOID

- Waiting for the "right time" instead of starting small, now.
- Opening five wrappers and ten funds before understanding one.
- Ignoring currency exposure when investing across EUR/USD/GBP.

GLOSSARY — KEY TERMS

PEA	Plan d'Épargne en Actions — tax-advantaged share account; gains tax-free after 5 yrs (soc. charges apply).
CTO	Compte-Titres Ordinaire — standard brokerage account, no caps or restrictions, full flat tax on gains.
TER	Total Expense Ratio — a fund's ongoing annual cost, shown as a % of assets.
DCA	Dollar-Cost Averaging — investing a fixed amount at regular intervals, regardless of price.
Livret A	Tax-free, instant-access French savings account; capped balance, government-set interest rate.
LDDS	Livret de Développement Durable et Solidaire — similar to Livret A, tax-free and instant-access.

PFU	Prélèvement Forfaitaire Unique — the 30% flat tax (12.5% income tax + 17.5% social charges) on investment gains.
UCITS	Undertakings for Collective Investment in Transferable Securities — the EU regulatory standard for funds/ETFs.
Assurance-Vie	A French life-insurance wrapper often used for wealth transfer; tax treatment improves after 8 years.

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